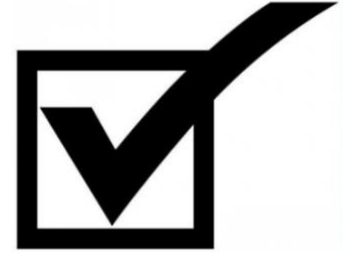




**BUSINESS
PROFESSIONALS
of AMERICA**
Giving Purpose to Potential



ADVANCED COLLEGE ACCOUNTING (115)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (10 @ 2 points each) _____ (20 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (48 points)

Problem 1: Statement of Cash Flows _____ (88 points)

Problem 2: Bonds _____ (80 points)

TOTAL POINTS _____ ***(236 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE (10 @ 2 points each = 20 points)

- | | |
|------|-------|
| 1. D | 6. C |
| 2. A | 7. C |
| 3. B | 8. D |
| 4. D | 9. B |
| 5. C | 10. B |

SHORT ANSWER (16 @ 3 points each = 48 points)

1. Black Widow Corp. recorded the following amounts for 2020.

- Research and development costs, \$50,000
- Patent, acquired on January 1, 2020 with a ten-year useful life, \$45,000
- Goodwill from purchase of another company, \$125,000
- Legal fees paid on December 31, 2020 to register an internally-developed patent with a 15-year useful life, \$7,000

a) What amount of will be reported on Black Widow's December 31, 2020 balance sheet?

\$172,500

b) What amount will be reported on Black Widow's income statement ending December 31, 2020?

\$54,500

2. Iron Man Corp. acquired all noncash assets and assumed all liabilities of Stark Inc. at a cash purchase price of \$2,400,000. Iron Man determined that the fair value of the assets acquired is \$3,500,000, and the fair value of the liabilities is \$1,700,000. What amount of goodwill will Iron Man record upon the purchase?

\$600,000

3. Vision Corp. reported the following amounts this past year.

- Revenues \$250,000
- Expenses \$130,000
- Unrealized holding gain on TS investments, \$12,000
- Unrealized holding loss on sale of AFS debt investments, \$15,000
- Unrealized holding loss on currently held equity securities, \$9,000

a) Ignoring income taxes, calculate net income **\$123,000**

b) Ignoring income taxes, calculate comprehensive income **\$15,000**

4. Thor Inc. exchanged equipment with a fair value of \$20,000 for used equipment with no determinable fair value. Thor's equipment originally cost \$200,000 and accumulated depreciation of \$175,000. This transaction lacks commercial substance.

a) At what amount will Thor record the new equipment? **\$20,000**

b) Will a gain or loss be recorded on this transaction, and if so how much? Be sure to give the amount AND indicate whether it is a gain or a loss!

Loss \$5,000

5. Ant-Man Corp. is in its first year of operations and it reported the following amounts.

Item	Dec 31, 2021
Common Stock	\$146,250
Other Comprehensive Income	16,250
Dividends Declared and Paid	14,625
Net Income	58,500

Compute the total amount of stockholders' equity as of December 31, 2020.

\$206,375

6. Financial information for Starlord Corp. for the fiscal year ended January 30, 2022, follows (in millions).

Sales	\$332,033
Profit Margin	4.011%
Asset Turnover	1.993
Financial Leverage	3.323

Compute the following amounts. Round amounts to the nearest dollar.

a. Net income **\$13,318**

b. Average total assets **\$166,600**

7. Rocket Company issued 50 shares of its own \$1 par common stock in exchange for equipment. The stock was actively traded for \$110 a share, and the company's management estimates that the equipment has a fair value at the date of acquisition of approximately \$5,720. Prepare the journal entry to record the purchase.

Grader: Each account and amount are worth 3 points each

Equipment	5,500	
Common Stock		50
Paid-in-Capital in Excess of Par-Common		5450

PROBLEM 1 (88 points)

Captain America Company has the following selected data from its annual period ended December 31, 2021.

Selected Data	Amount
Paid cash dividend	\$4,000
Purchase of equipment	24,000
Increase in merchandise inventory	5,600
Borrowed on a long-term note	10,000
Increase in prepaid expenses	1,200
Decrease in accounts receivable	2,800
Payment of bonds payable in full	38,800
Increase in accounts payable	2,000
Cash from disposal of fixed assets (book value was \$4,200)	4,800
Decrease in rent receivable	800

Income Statement	
For the Year Ended December 31, 2021	
Sales revenue	\$160,000
Rent revenue	4,000
Costs of goods sold	76,000
Depreciation expense	8,000
Remaining expenses	<u>38,800</u>
Net income	<u>\$ 41,200</u>

Prepare a statement of cash flows for the Captain America Company for the year ended December 31, 2021, using the indirect method to report cash flows from operating activities. The beginning-year cash balance was \$24,800.

Grader: Four points for each line of the heading, four points for each amount.

Captain American Co.		
Statement of Cash Flows		
Year Ended December 31, 2021		
Operating Activities:	41,200	
Net Income	8,000	
Gain on sale of fixed asset	(600)	
Increase in Inventory	(5,600)	
Increase in Prepaid Expenses	(1,200)	
Decrease in Accounts Receivable	2,800	
Increase in Accounts Payable	2,000	
Decrease in Rent Receivable	<u>800</u>	
Net Cash from Operating Activities		47,400
Investing Activities:		
Purchase of equipment	(24,000)	
Proceeds from sale of fixed asset	<u>4,800</u>	
Net Cash from Investing Activities		(19,200)
Financing Activities:		
Paid Dividends	(4,000)	
Borrowing from note payable	10,000	
Paid bonds	<u>(38,800)</u>	
Net Cash from Financing Activities		<u>(32,800)</u>
Net Decrease in Cash		(4,600)
Beginning Cash		<u>24,800</u>
Ending Cash		<u>\$20,200</u>

PROBLEM 2 (80 points)

Grader: Each answer, account, and amount are worth 4 points each

On January 1, 2022, Hawkeye Unlimited issues 8%, 10-year bonds payable with a face value of \$240,000. The market rate is 10%, and the bonds pay interest on June 30 and December 31.

Round all answers to the nearest whole number.

Requirements:

- 1) Is the bond issued at Face Value, Discount, or Premium? **Discount**
- 2) Journalize the issuance of the bond.

Cash	210,091	
Discount on Bonds Payable	29,909	
Bonds Payable		240,000

- 3) What will be the carrying value on the balance sheet at issuance? **\$210,091**
- 4) Journalize the semi-annual interest payment on June 30, 2022.

Interest Expense	10,505	
Discount on Bonds Payable		905
Cash		9,600

- 5) Journalize the semi-annual interest payment on December 31, 2022.

Interest Expense	10,550	
Discount on Bonds Payable		950
Cash		9,600

- 6) What will be the carrying value on the balance sheet immediately after the last interest payment but before retirement?

\$240,000

7) Journalize the retirement of the bond at maturity.

Bonds Payable	240,000	
Cash		240,000

8) What is the total cost of borrowing? **\$221,909**